

brand portfolio through horizontal integration. In the last 40 years, the group has had a series of acquisitions around the world that strengthened its global position through effective targeting and brand positioning in domestic and regional markets. Examples of such acquisitions include Zanussi in Europe; AEG in Germany; Frigidaire, Kelvinator, and White Westinghouse in North America; Refripar in Brazil; and the Olympic Group in Middle East and North Africa.

In September 2014, Electrolux unveiled its agreement to acquire the appliance business of General Electric, GE Appliances, for a cash consideration of \$3.3 billion. GE Appliances is one of the leading manufacturers of kitchen and laundry products in North America, and makes more than 90 percent of its sales in this region and runs its own distribution and logistics network. The acquisition also included a 48.4 percent shareholding in the Mexican appliance company Mabe that develops and manufactures a portion of the GE Appliances product range as part of a joint venture with GE. According to Keith McLaughlin, President and CEO of Electrolux, the acquisition was expected

to give the company more financial horsepower on its balance sheet to do even more business around the world.

With a growing portfolio of smartly positioned brands, global reach, innovations based on consumer insight, operational excellence and manufacturing efficiency, and increased financial power, Electrolux is all set to establish greater dominance in the global home appliances industry.

Questions

1. Evaluate Electrolux's strategy in light of its vision and the global trends in the household appliance industry.
2. What benefits will Electrolux receive from the acquisition of GE Appliances? How does it fit in with the strategic direction of the group? What other strategic options can Electrolux pursue for future growth to achieve greater global dominance?

Sources: Electrolux Group Annual Report 2013, www.electrolux.com; "History," "Strategy," and "Markets," www.electrolux.com; Katarina Gustafsson, "Electrolux CEO Hints at More Deals After GE Appliances Purchase," *Bloomberg*, September 8, 2014.

Marketing Excellence

>> Emirates

Emirates is an airline company with a mission to provide high-quality commercial air transportation services. The company's global strategy aims at efficient competition, exceeding far beyond the limits of the Arabian Gulf and Middle Eastern markets. In 1985, the Dubai government, cognizant of the country's limited oil resources, launched the flag carrier as an alternative means to economic growth in the United Arab Emirates (UAE).

In the very beginning, the airline served 60 destinations in 42 countries across Europe, Middle East, Africa, Asia, and Australia. To keep up with the aggressive competition, Emirates emphasized product, equipment, and excellent service, and promoted a quality image. To do so, a multinational crew was recruited and a state-of-the-art fleet was purchased.

Within two decades, Emirates expanded its destinations and had remarkable financial returns. In 2014, it served 142 destinations in 80 countries from its hub in Dubai. It carried 44.5 million passengers, 5.1 million more than in 2012–13, and 2.3 million tons of airfreight, up by 8 percent, which contributed to the 26th consecutive year of profitable operations. The company has witnessed a steady growth over time since its inception – it carried 26 million passengers and served 101 destinations in 2010; these figures were 14.5 million and 83 in 2005.

Emirates operates four of the 10 longest, non-stop commercial flights in the world from Dubai to Los Angeles, San Francisco, Dallas, and Houston. It employs over 52,000 people from 162 different countries. Emirates has also been the world's most valuable airline brand for the third consecutive year, with a value of \$5.5 billion. It was awarded the prestigious Airline of the Year Award numerous times by Air Transport World, in addition to more than 400 other distinguished industry sector awards.

The company has a fleet aged 72 months (as of 2013), young in comparison to that of the industry, which is 140 months old. Good terms with Airbus and Boeing favored huge acquisitions of long-haul airplanes. These massive purchases have made Emirates the largest Airbus (A380) and Boeing (777) aircraft operator in the world, reflecting the global aspirations of the company.

Emirates is looked upon as an innovative organization in terms of technology due to its acquisition of the groundbreaking storage infrastructure in the Middle East. Additionally, the company is a major shareholder in luxury five-star hotels. Its performance is attributed to its customer-oriented approach revolving around the provision of a quality product: exclusive grade-A manufactured Boeing and Airbus aircrafts, premium flight services, and traveling at a competitive price. To cost-effectively carry out cargo and ground handling, catering services, information technology, and other travel amenities, Dnata supports Emirates' global ambitions. It is considered one of the largest and most competitive air service providers worldwide.

In terms of corporate positioning, Emirates is not looked upon as an Arab airline operating internationally but rather as a global company based out of the Middle East. This global positioning of the company has spawned aversion from competitors that considered Emirates as a serious threat in the market. These competitors are struggling to compete with Emirates, particularly due to its significant cost advantage. Some of these competitors unequivocally accused Emirates of benefiting from obscured UAE subsidies and exemptions on airport and aviation service charges. They also alleged that Emirates takes advantage of the UAE's sovereign borrowing status to secure loans below market rates.

Despite its many strengths, the airline company is not without faults. In its disregard for growing regional competition, Emirates overlooks very obvious flaws in its market strategy. For instance, Etihad Airways, an arm of the Abu Dhabi government, is offering products that appeal to travelers seeking premium services at competitive prices. Gulf Air, which is partly owned by the Abu Dhabi government, has also taken advantage of the open skies policy to gain free access to the Dubai airport. Emirates has also been massively acquiring aircrafts and inflating the size of its fleets. While this represents vast investments, the implications are far-reaching. To be able to have long-term advantages, the company should become a shareholder in the Airbus or Boeing companies. The airline endures cost pressure as fuel costs represent

leading expenditures accounting for 30.7 percent (2013) of the overall operating costs. The company's human resources are already lean and it is cost effective on other cost components. For how long can Emirates hold on to its cost-cutting strategy without paying attention to competitors?

Questions

1. How has Emirates been able to build a strong brand in the competitive airline industry worldwide?
2. What are some of the apparent weaknesses with the company's strategic direction? How can the airline address them?
3. With the decline of fuel prices globally, airline companies continue to reap the benefits. What impact will this have on Emirates' business strategy in the future?

Sources: *Emirates Group Annual Report 2013–2014*; John F. O'Connell, "An Examination of the World's Most Profitable Airline in 2009/10: the Emirates business model," John F. O'Connell and George Williams, eds., *Air Transport in the 21st Century: Key Strategic Developments* (UK: Ashgate, 2012), p. 421; Justin Bachman, "Emirates Flies Into America, and U.S. Airlines Grow Anxious," *BusinessWeek*, October 2, 2014; Kenneth Rapoza, "Why UAE And Qatar Have The 'World's Best' Airlines," *Forbes*, April 1, 2014; Scott McCartney, "Emirates, Etihad and Qatar Make Their Move on the U.S.," *Wall Street Journal*, November 6, 2014; Andrew Parker and Simeon Kerr, "Emirates: In a sweet spot," *Financial Times*, December 8, 2013; "Emirates increases competition with Etihad and Qatar as it adds Chicago to its US network," Centre for Aviation (CAPA), March 5, 2014; Jad Mouawad, "Emirates' Ambitions Worry European Rivals," *New York Times*, February 12, 2011, p. BU1; Also see Timothy Clark's, President and CEO of Emirates, speech to the International Aviation Club, September 13, 2012.